TRADE SELECTION

Wealth Training Company

1) Main chart behaviour

- Trending up / down ?
- Oscillating (bouncing up and down)?

2) Trend Lines

A) Current major trend
B) Previous major trend
C) Current minor trend (NOT on LT)

3) Support & Resistance Lines

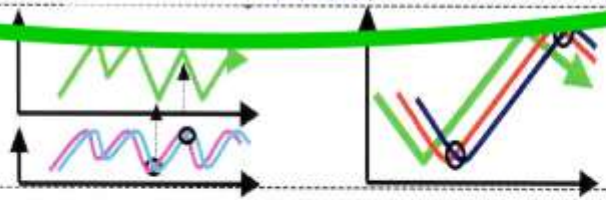
A) Channelling lines
B) Long term resistance
C) Short term resistance (NOT LT)

4) Chart patterns

A) Reversal patterns
Major & Minor (NOT on LT)
B) Continuation patterns
Major & Minor (NOT on LT)

5) Indicators

- Trending
-Oscillating



6) Conclusion

DOES IT LOOK LIKE A GOOD SHARE TO TRADE?

How do we do it?

Wealth Training Company

d) Use chart patterns

Is the trend going to change direction or continue?

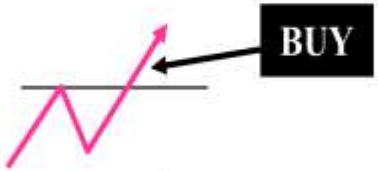
Use Chart Patterns : Continuations

Continuations

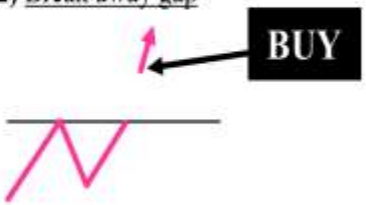
Wealth Training Company

CONTINUATIONS

1) Single peak breakout



2) Break away gap



3) Breakout + pullback

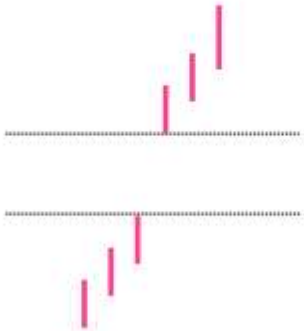
4) **********

5) Flag (small)

6) Pennant

7) **********

8) Continuation Gap



9) **********

Special Note

The following can be either continuations or reversals:

Symmetrical Triangle

Descending Triangle

Ascending Triangle

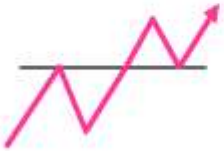
CONTINUATIONS

Wealth Training Company

1) Single peak breakout

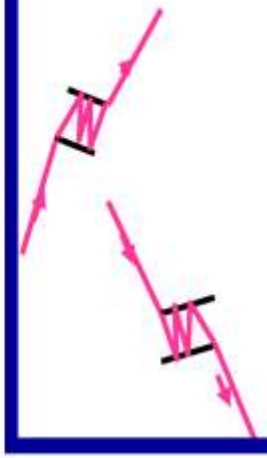
2) Break away gap

3) Breakout + pullback



4) **********

5) Flag (small)



6) Pennant

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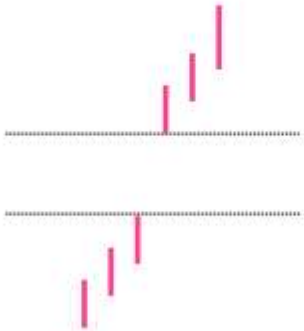
8) Continuation Gap



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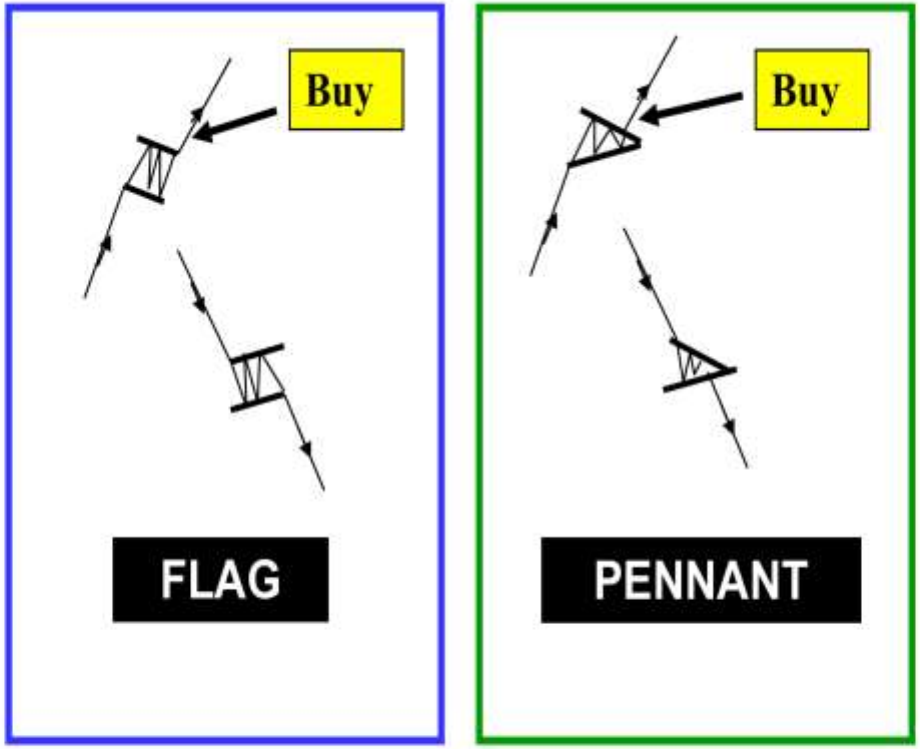
When to buy and when to sell

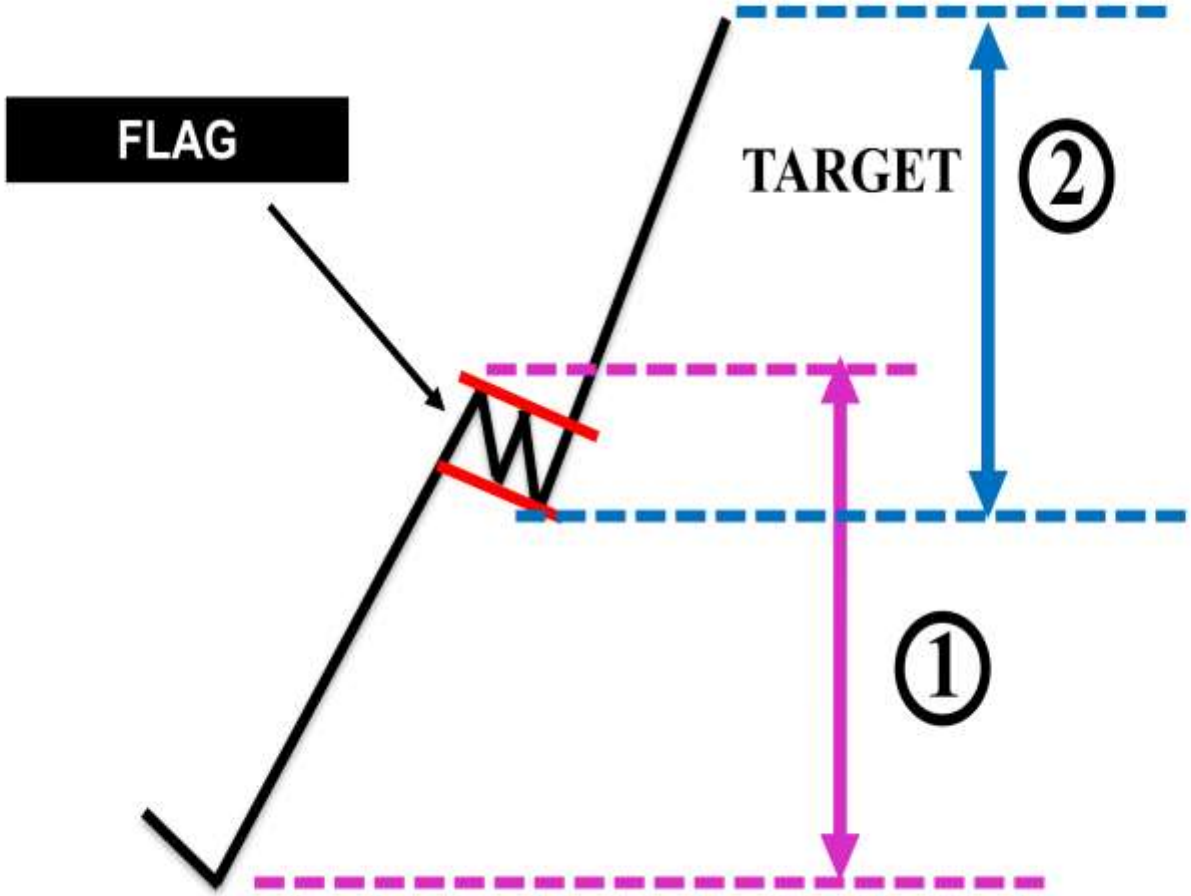
Important Continuation Patterns

BIG move – small pause – BIG move

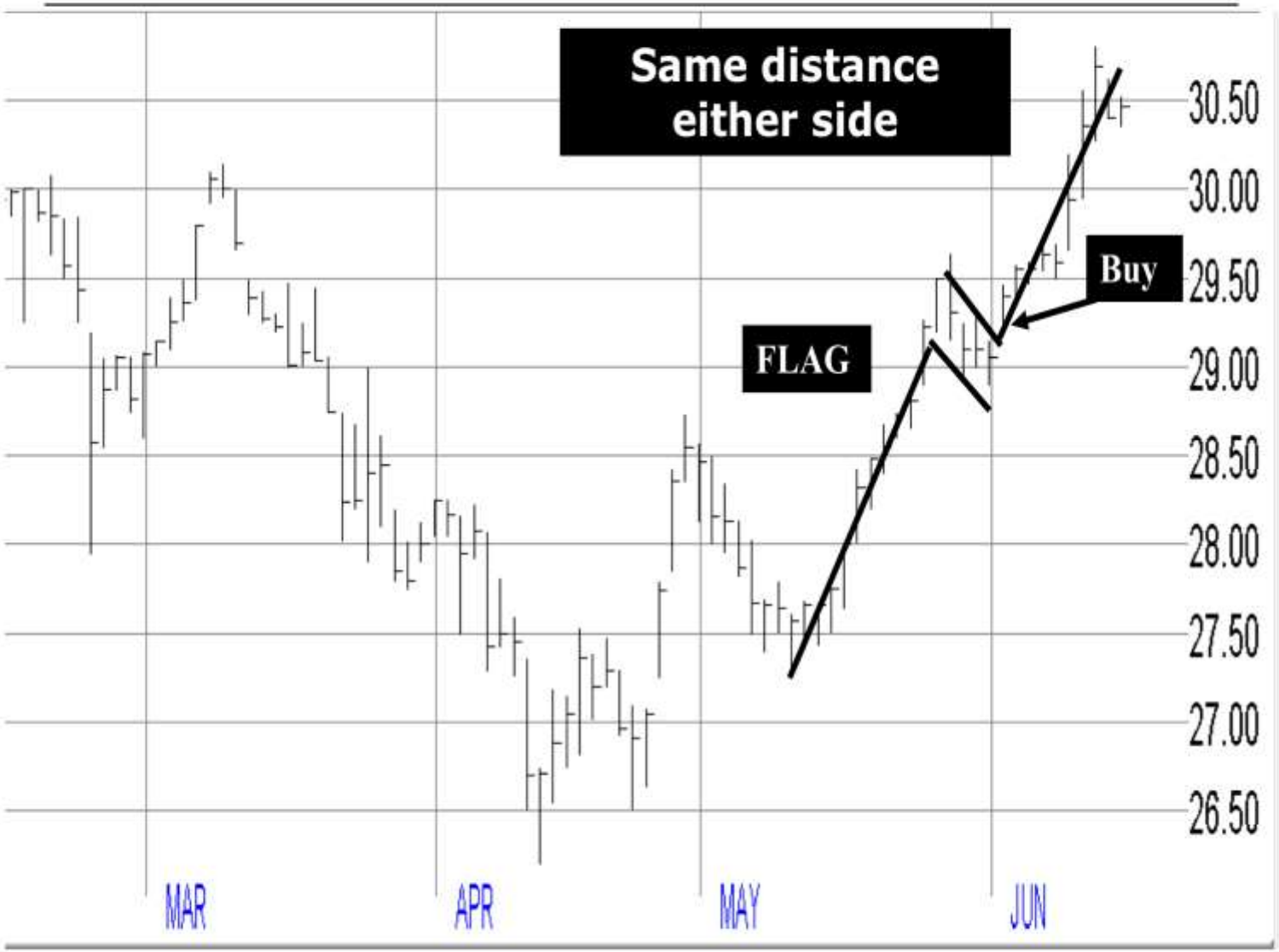
(Pattern small relative to move)



Continuation Chart Patterns



Example of Flag



Wealth Training Company

Example of Pennant

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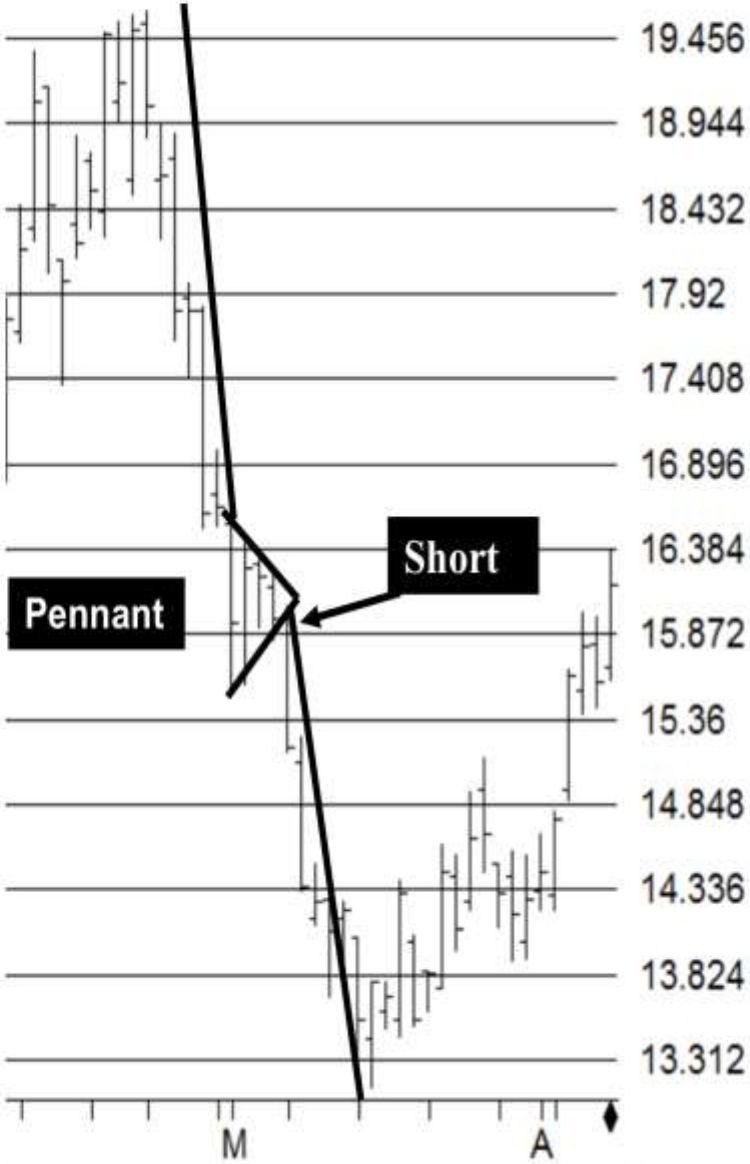

CONTINUATIONS

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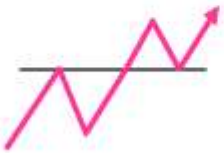
2) Break away gap

3) Breakout + pullback



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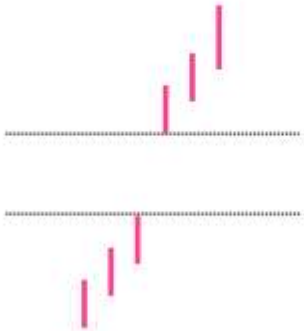
8) Continuation Gap



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Descending Triangle

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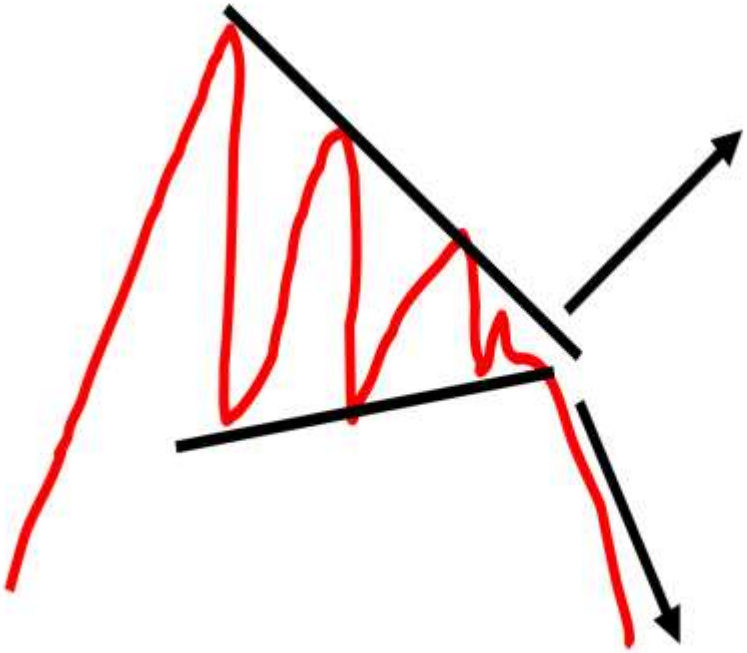
Triangle SMALL compared to move = continuation

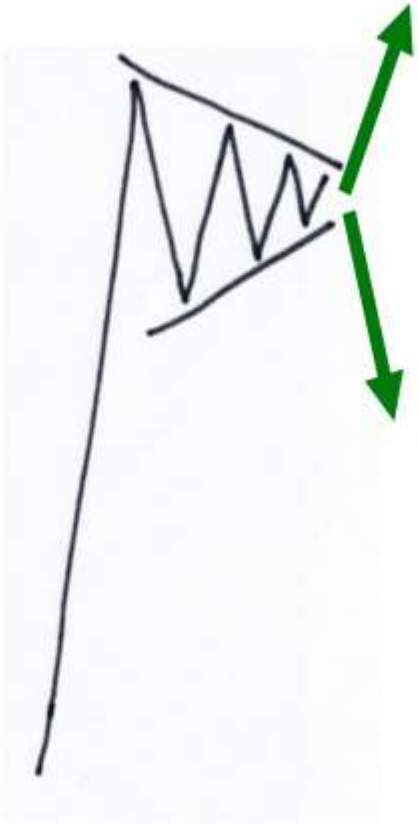


Triangle BIG compared to move = **Either Way**

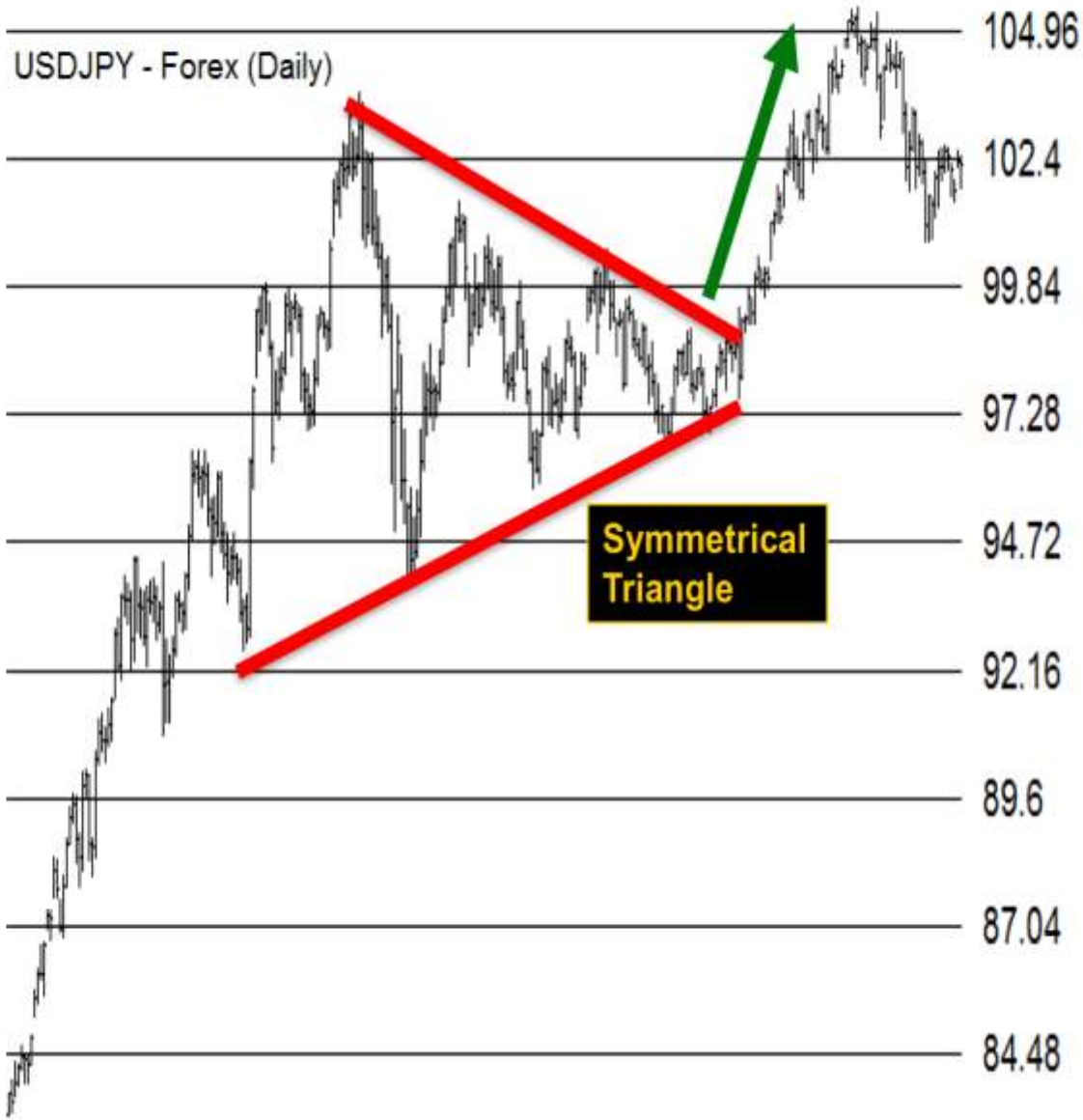
Consolidation Patterns

Wealth Training Company

1) Symmetrical Triangle



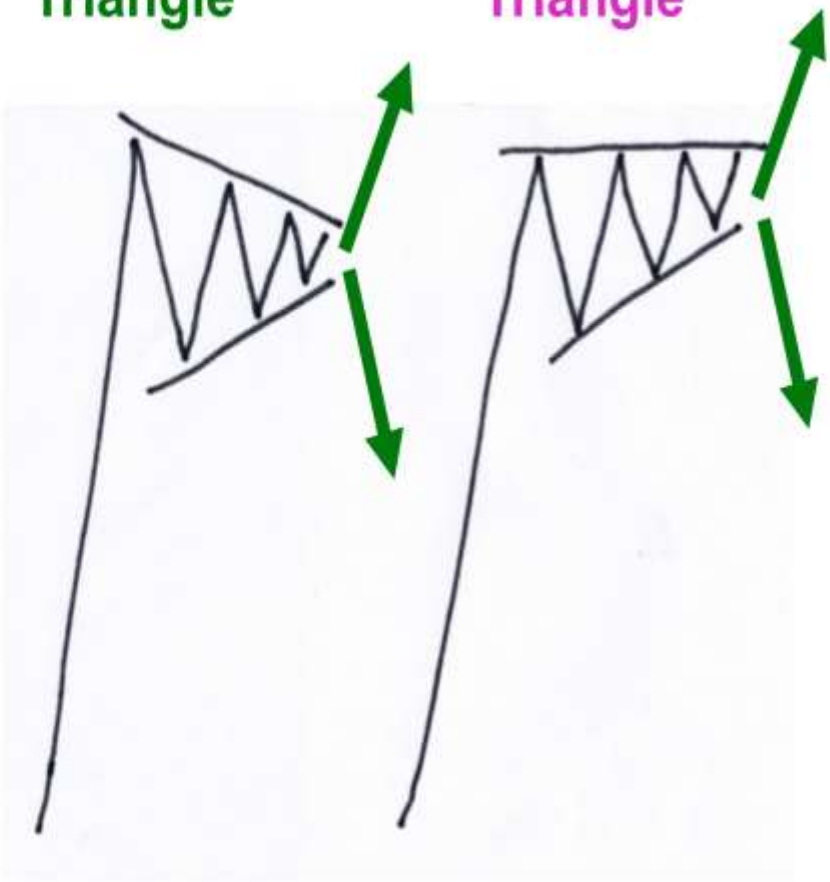
Consolidation Pattern example



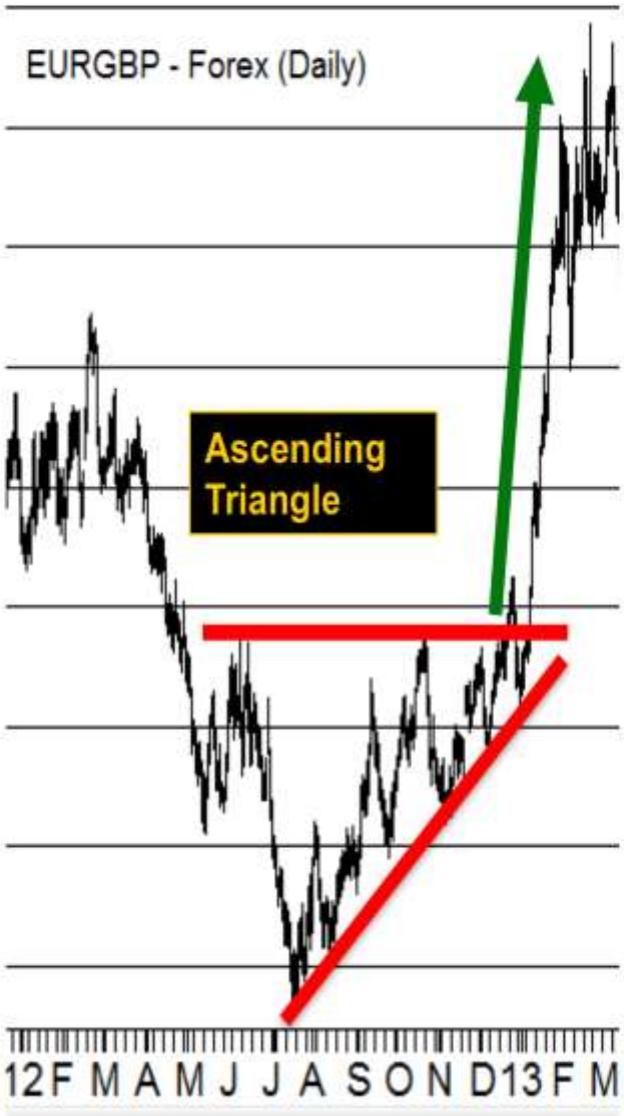
Consolidation Patterns

1) Symmetrical Triangle

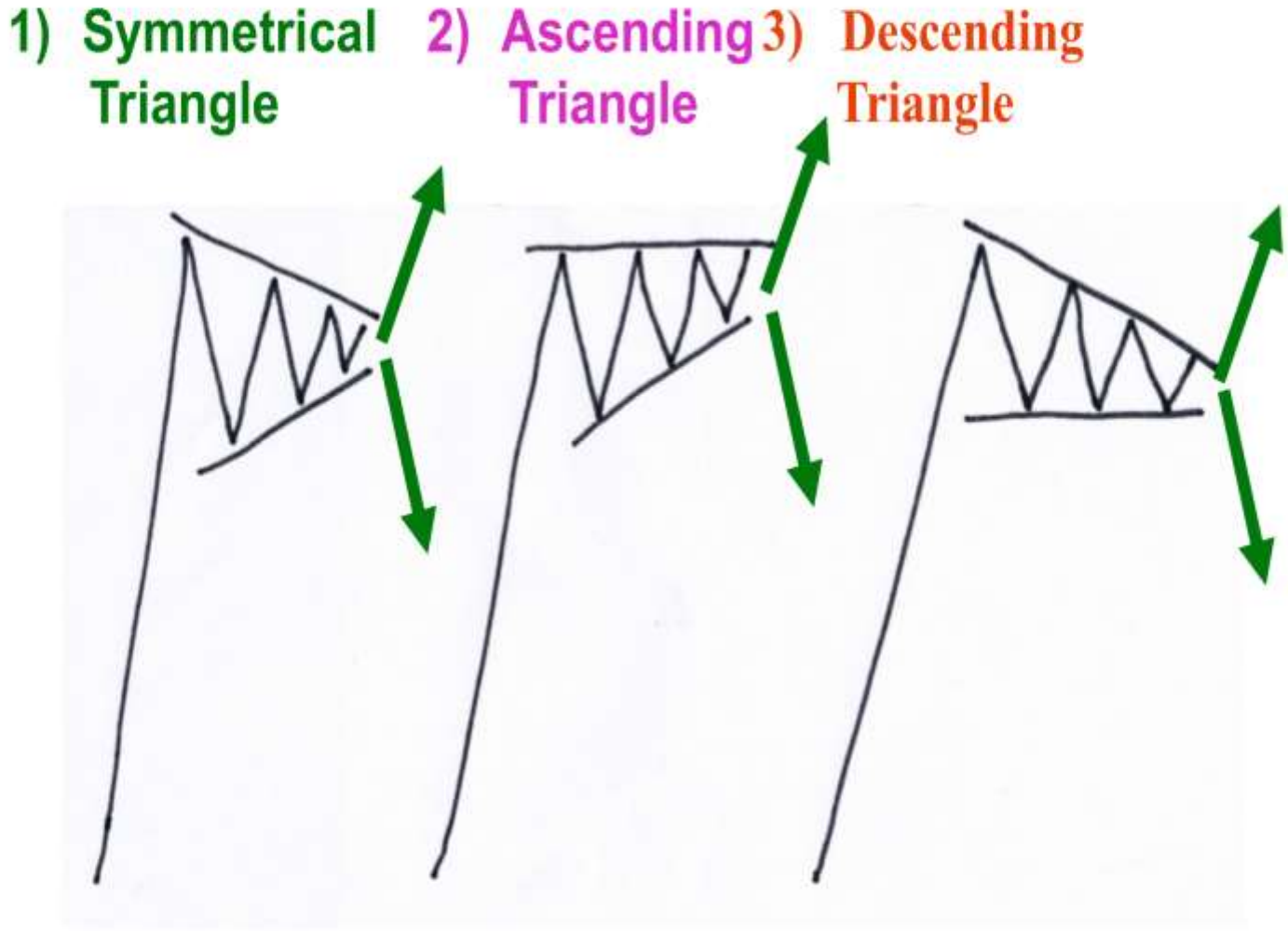
2) Ascending Triangle



Consolidation Pattern example



Consolidation Patterns



Consolidation Pattern example

Examples

Get summary sheets:

Reversal/Continuation

Examples

Get summary sheets:

Reversal/Continuation

Wealth Training Company

Wealth Training Company

Wealth Training Company

When to buy and when to sell

Wealth Training Company

Theory into practice

Draw:

Reversal chart patterns

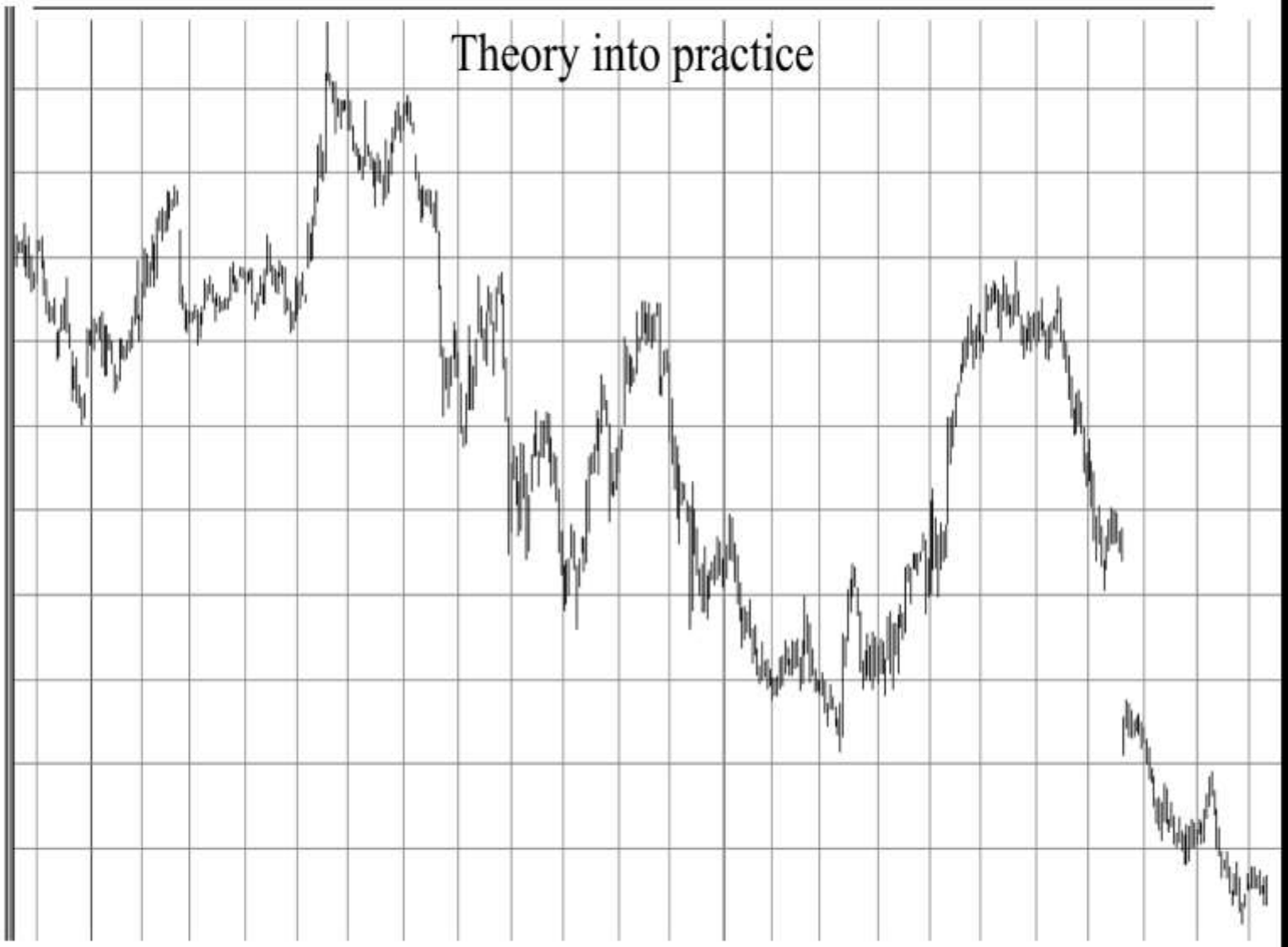
Continuation chart patterns

FOR WHOLE CHART

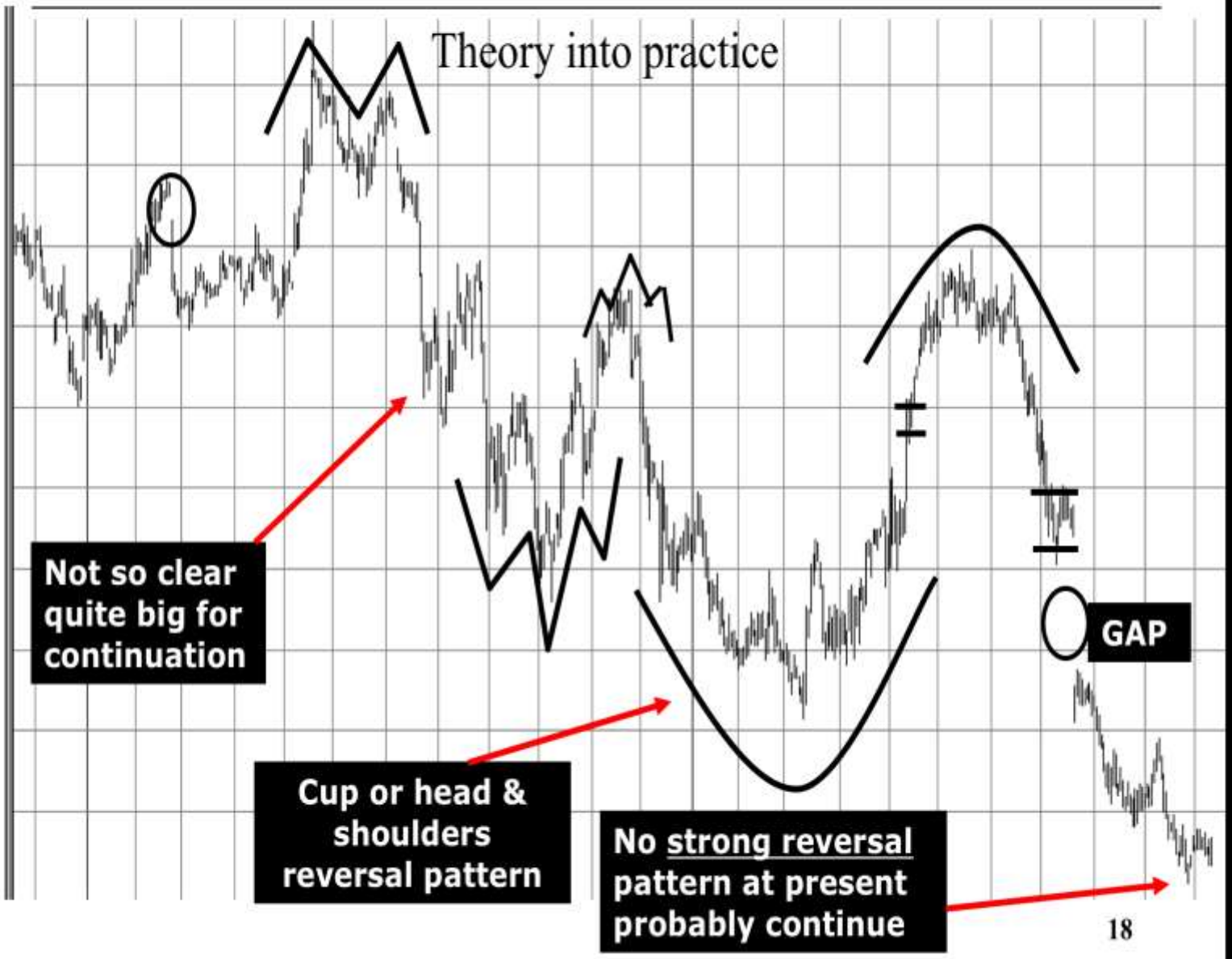
4) When to buy and when to sell

d) Theory into practice

4) When to buy and when to sell

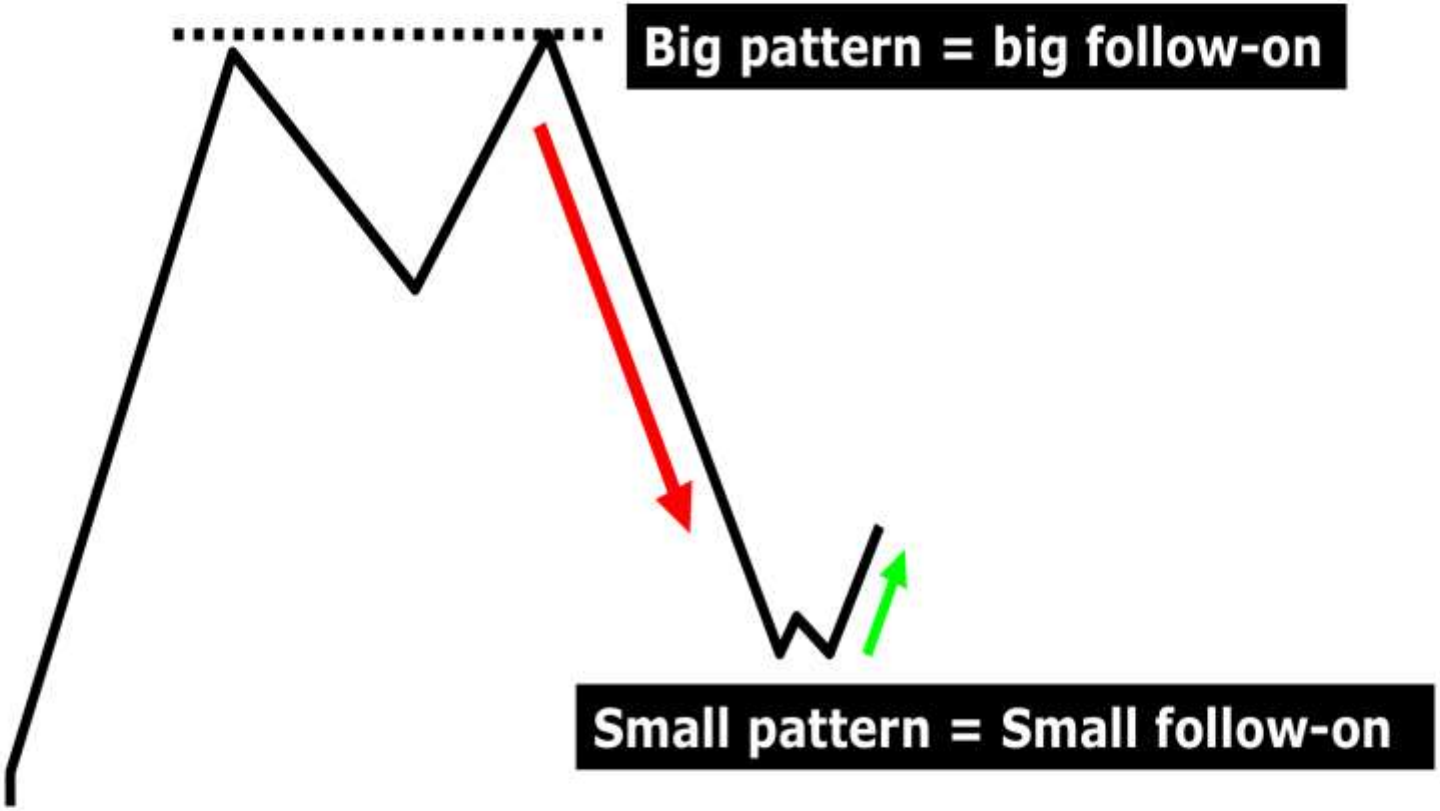


4) When to buy and when to sell

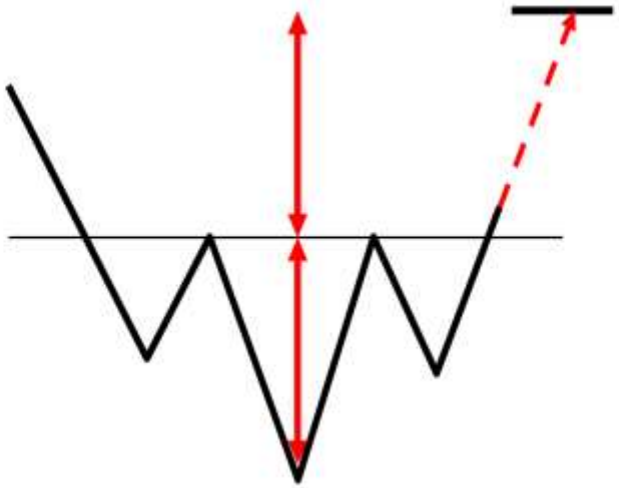


Some Distinctions

Write this down



Rules: Amount of Movement



These are JUST target GUIDES